BEHAVIORAL Approach

MH1.3

As we know, managers get things done by working with people. This explains why some writers have chosen to look at management by focusing on the organization's human factors. The field of study that researches the actions (behavior) of people at work is called **organizational behavior (OB)**. Much of what managers do today when managing people—motivating, leading, building trust, working with a team, managing conflict, and so forth—has come out of OB research.

Although a number of individuals in the early twentieth century recognized the importance of people to an organization's success, four stand out as early advocates of the OB approach: Robert Owen, Hugo Münsterberg, Mary Parker Follett, and Chester Barnard. Their contributions were varied and distinct, yet all believed that people were the most important asset of the organization and should be managed accordingly. Their ideas provided the foundation for such management practices as employee selection procedures, motivation programs, and work teams. Exhibit MH-5 summarizes each individual's most important ideas.

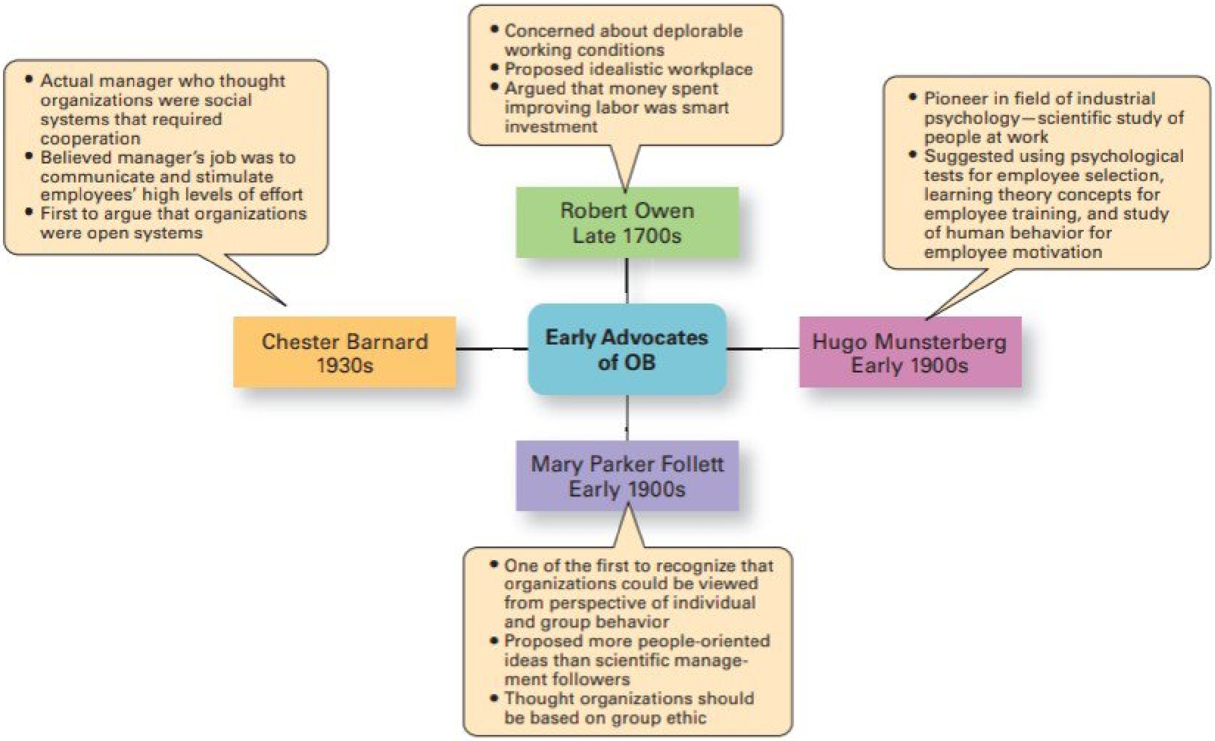
Without question, the most important historical contribution to the OB field came out of the **Hawthorne Studies**, a series of studies conducted at the Western Electric Company Hawthorne Works in Cicero, Illinois. These studies, which started in 1924, were initially designed by Western Electric industrial engineers as a scientific management experiment. They wanted to examine the effect of various lighting levels on worker productivity. Like any good scientific experiment, control and experimental groups were set up, with the experimental group exposed to various lighting intensities and the control group working under a constant intensity. If you were the industrial engineers in charge of this experiment, what would you have expected to happen? It's logical to think that individual output in the experimental group would be directly related to the intensity of the light. However, they found

organizational behavior (OB)
The study of the actions of people at work

Hawthorne Studies
A series of studies during the 1920s and 1930s that provided new insights into individual and group behavior

Western Electric Employees
Workers at the Western Electric Company were subjects of an important series of studies that initiated the behavioral approach to management.
Source: Hawthorne Works Museum of Morton College

Exhibit MH-5
Early OB Advocates



that as the level of light was increased in the experimental group, output for both groups increased. Then, much to the surprise of the engineers, as the light level was decreased in the experimental group, productivity continued to increase in both groups. In fact, a productivity decrease was observed in the experimental group *only* when the level of light was reduced to that of moonlight. What would explain these unexpected results? The engineers weren't sure, but concluded that lighting intensity was not directly related to group productivity and that something else must have contributed to the results. They weren't initially able to pinpoint what that "something else" was, though.

In 1927, the Western Electric engineers asked Harvard professor Elton Mayo and his associates to join the study as consultants. Thus began a relationship that would last through 1932 and encompass numerous experiments in the redesign of jobs, changes in workday and workweek length, introduction of rest periods, and individual versus group wage plans.[8] For example, one experiment was designed to evaluate the effect of a group piecework incentive pay system on group productivity. The results indicated that the incentive plan had less effect on a worker's output than group pressure, acceptance, and security. The researchers concluded that social norms or group standards were the key determinants of individual work behavior. In terms of the original lighting experiment, the researchers learned that just the awareness of being observed alters the behavior of people.

Scholars generally agree that the Hawthorne Studies had a game-changing impact on management beliefs about the role of people in organizations. Mayo concluded that people's behavior and attitudes are closely related, that group factors significantly affect individual behavior, that group standards establish individual worker output, and that money is less a factor in determining output than group standards, group attitudes, and security. These conclusions led to a new emphasis on the human behavior factor in the management of organizations.

HOW TODAY'S MANAGERS USE THE BEHAVIORAL APPROACH The behavioral approach has largely shaped how today's organizations are managed. From the way managers design jobs to the way they work with employee teams to the way they communicate, we see elements of the behavioral approach. Much of what the early OB advocates proposed, and the conclusions from the Hawthorne Studies, have provided the foundation for our current theories of motivation, leadership, group behavior and development, and numerous other behavioral approaches.